

The Complete First-Time Buyer's Guide

Understanding Offers and Closing

Everything you need to know to navigate the offer and closing process with confidence. This guide breaks down each step, explains what to expect, and answers the questions you are likely to have along the way.

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Introduction

Buying a home for the first time is exciting, but it can also feel overwhelming. Between loan applications, inspections, appraisals, and paperwork, there are a lot of moving pieces. The goal of this guide is to walk you through the offer and closing process step by step so you know what to expect, when to expect it, and what questions to ask along the way.

You do not have to figure this out alone. Your lender, inspector, title company, and real estate agent are all here to help you. My job is to make sure you understand what is happening at each stage and to advocate for you if anything feels off.

PHASE 1: Making Your Offer

Before You Make an Offer

Before you submit an offer, three things need to be in place. First, you should have a clear idea of what you can afford. This is different from what a lender says you can borrow. Your lender might approve you for \$400,000, but that does not mean you should spend that much. Think about your monthly budget, your job stability, and your comfort level with a mortgage payment.

Second, you need to be pre-approved by a lender. Pre-approval is not the same as pre-qualification. Pre-qualification is an estimate based on what you tell the lender. Pre-approval is when the lender actually reviews your credit, income, and assets. Sellers take pre-approval seriously because it proves you can get financing.

Third, you should have researched the market. What are similar homes selling for in the area? What is the inventory like? Are there multiple offers on homes you like? This information helps you make an offer that is competitive but not reckless.

The Numbers You Need to Know

When you make an offer, there are several numbers you need to decide on.

Purchase Price. This is the amount you are offering to pay. This is negotiable. The seller might accept your offer, reject it, or counter with a different price.

Earnest Money Deposit. This is money you put into an escrow account to show the seller you are serious. It typically ranges from 1% to 3% of the purchase price. When you close, this money goes toward your down payment. If you walk away without a valid reason, like a failed inspection, you might lose this money.

Down Payment. This is the percentage of the purchase price you will pay upfront. Common down payments are 3%, 5%, 10%, or 20%. The higher your down payment, the lower your

monthly payment and interest rate will be. But you need to balance this against your savings and emergency fund. First-time buyers can often put down as little as 3% with FHA loans.

Contingencies: What They Mean for You

A contingency is a condition that must be met for the deal to go through. Most offers include three major contingencies.

Financing Contingency. This protects you if your lender denies your loan. Without this contingency, you could lose your earnest money even if you cannot get financing.

Inspection Contingency. This gives you the right to hire an inspector and walk away with your earnest money if major problems are found. The inspection period typically lasts 7-10 days. During this time, you can order the inspection and request repairs from the seller.

Appraisal Contingency. The lender will order an appraisal to make sure the home is worth what you are paying. If the appraisal comes in lower than your offer, this contingency protects you. Without it, you would have to pay the difference out of pocket or walk away and lose your earnest money.

Closing Date: More Important Than You Think

Your offer will specify a closing date, typically 30-45 days from the offer acceptance. This date matters because it gives the lender time to process your loan, the title company time to complete a search, and you time to get your inspection and appraisal done. If you try to close too quickly, you risk delays. If you push the closing date too far out, the seller might get nervous or the market might shift. A 30-45 day timeline is standard and manageable for most transactions.

PHASE 2: Offer Accepted

What Happens Next

Once the seller accepts your offer, you have entered into a contract. This is binding. You have committed to buy the home at the agreed price, and the seller has committed to sell it to you. The earnest money deposit is now in escrow, which means it is held by a neutral third party (usually the title company or escrow agent) until closing.

Within 24-48 hours of acceptance, several things should start happening. Your lender will order the appraisal. You will need to schedule the home inspection. The title company will start the title search to make sure the seller actually owns the property and that there are no liens or other issues that would prevent the sale.

The Home Inspection: What to Expect

The home inspection is one of the most important steps in the buying process. A professional inspector will spend 2-4 hours going through the home, checking the roof, foundation, electrical system, plumbing, HVAC, appliances, and more. You should attend the inspection. Walk through with the inspector and ask questions. Understanding what is working and what is not will help you decide whether to ask the seller for repairs.

After the inspection, you will receive a detailed report. Do not panic if the report lists issues. Every home has something. The question is whether the issues are minor maintenance items or serious problems that require expensive repairs. Your agent can help you evaluate the report and decide what is worth negotiating.

Repair Requests: The Negotiation

After you receive the inspection report, you have the right to ask the seller to make repairs or credits for repairs. You cannot ask for anything you want. Repair requests need to be based on the inspection findings and they need to be reasonable. Asking the seller to repaint the kitchen because you do not like the color will not work. Asking them to repair a roof leak that the inspector documented will.

The seller can accept your repair request, reject it, or make a counter-offer. If you cannot agree, you have the right to walk away (within the inspection contingency period) without losing your earnest money. This is why the inspection contingency matters.

Title Search and Insurance

While the inspection is happening, the title company is searching public records to confirm the seller owns the property and that there are no claims against it (liens, unpaid taxes, judgments, etc.). This search typically takes 1-2 weeks. The title company will also quote you for title insurance, which is standard. Title insurance protects you and your lender if someone

later claims they have a right to the property.

Title issues are rare in modern transactions, but they happen. If the title search finds a problem, the seller is responsible for fixing it before closing. If they cannot, you have the right to walk away.

PHASE 3: Due Diligence (Inspection and Appraisal)

Understanding the Appraisal

The appraisal is an independent assessment of the property value ordered by your lender. An appraiser will visit the home, measure it, photograph it, and compare it to similar homes that have sold recently. The appraisal report will state the appraiser's opinion of the property value.

Here is the critical part. The lender will only lend up to the appraised value. If you offered \$350,000 but the home appraises for \$340,000, the lender will only lend based on the \$340,000 value. You have three options. First, negotiate the price down to \$340,000. Second, increase your down payment to make up the difference. Third, walk away if you included an appraisal contingency.

Appraisals usually come in close to the purchase price, but low appraisals do happen, especially in slower markets or with unique properties. This is another reason the appraisal contingency is important.

Your Credit and Loan Approval

While the inspection and appraisal are happening, your lender is processing your loan. They will order a credit report, verify your employment, check your bank statements, and review all your financial documents. This is standard. The lender wants to make sure you are who you say you are and that you can actually pay the loan back.

During this time, do not make any major changes to your finances. Do not apply for new credit, take on new debt, close bank accounts, or change jobs. Any of these things could affect your loan approval. It might seem extreme, but it happens. I have seen deals fall through because a buyer bought a car two weeks before closing.

Insurance: Do Not Wait

Your lender will require homeowners insurance before closing. You cannot wait until the last minute to get quotes. Shop around for insurance now. Call 3-4 insurance agents and compare quotes. Your lender will want proof of insurance, called a binder, before closing day. Do not make assumptions about what is covered. Ask your insurance agent about deductibles, coverage limits, and what is excluded. If the home is older or has had any damage, insurance might be more complicated or expensive.

PHASE 4: Final Steps to Closing

The Final Walk-Through

Two to three days before closing, you have the right to do a final walk-through of the property. This is your last chance to confirm that the home is in the condition you expected and that any agreed repairs have been made. Walk through every room. Check that the appliances you negotiated to stay are still there. Make sure any repairs the seller agreed to have been completed.

If something is wrong, now is the time to alert your agent and the title company. Issues found during the final walk-through might delay closing, but it is better to catch problems now than after you have already closed.

The Closing Disclosure

Three business days before closing, your lender will send you a Closing Disclosure. This is a legal document that lists all your loan terms, your monthly payment, your closing costs, and how much cash you need to bring to closing. This is your final chance to review the numbers and catch any mistakes. Read it carefully. If anything looks wrong, contact your lender immediately. Do not wait until closing day to bring up discrepancies.

Arranging Your Funds

Based on the Closing Disclosure, you will know exactly how much money you need for closing. This includes your down payment, closing costs, and any prepaid items like property taxes and insurance. Most title companies will ask you to wire the funds one business day before closing. Do not send a personal check. Lenders require a cashier's check or wire transfer. Confirm the wiring instructions with the title company and double-check the account number. Wire fraud is real, and you do not want to send your money to the wrong place.

Closing Day

You will meet at the title company office or lender's office for the closing meeting. It typically lasts 30 minutes to an hour. You will sign a stack of documents, including the promissory note (your promise to repay the loan) and the deed of trust (the lender's security interest in the property). You might not understand every document, and that is okay. Your attorney or agent can explain anything that is confusing. Take your time. Do not rush. Ask questions if anything feels off.

After you sign all documents, the lender will fund the loan (transfer the money), and the title company will record the deed with the county. Once the deed is recorded, you are the owner. Congratulations.

Final Thoughts

Buying a home is one of the biggest financial decisions you will make. It is normal to feel nervous or overwhelmed. But remember, you do not have to do this alone. Reach out if you have questions at any point in the process. That is what I am here for.